money in IBM."

If IBM goes bad and you bought it, the clients and the bosses will ask: "What's wrong with that damn IBM lately?" But if La Quinta Motor Inns goes bad, they'll ask: "What's wrong with you?" That's why security-conscious portfolio managers don't buy La Quinta Motor Inns when two analysts cover the stock and it sells for $3 a share. They don't buy Wal-Mart when the stock sells for $4, and it's a dinky store in a dinky little town in Arkansas, but soon to expand. They buy Wal-Mart when there's an outlet in every large population center in America, fifty analysts follow the company, and the chairman of Wal-Mart is featured in *People* magazine as the eccentric billionaire who drives a pickup truck to work. By then the stock sells for $40.

The worst of the camp-following takes place in the bank pension-fund departments and in the insurance companies, where stocks are bought and sold from preapproved lists. Nine out of ten pension managers work from such lists, as a form of self-protection from the ruination of "diverse performance." "Diverse performance" can cause a great deal of trouble, as the following example illustrates.

Two company presidents, Smith and Jones, both of whom have pension accounts managed by the National Bank of River City, are playing golf together, as they always do. While waiting to tee off, they chat about important things such as pension accounts, and soon they discover that while Smith's account is up 40 percent for the year, Jones's account is up 28 percent. Both men ought to be satisfied, but Jones is livid. Early Monday morning he's on the phone with an officer of the bank, demanding to know why his money has underperformed Smith's money, when, after all, both accounts are handled by the same pension department. "If it happens again," Jones blusters, "we're pulling our money out."

This unpleasant problem for the pension department is soon avoided if the managers of various accounts pick stocks from the same approved batch. That way, it's very likely that both Smith and Jones will enjoy the same result, or at least the difference will not be great enough to make either of them mad. Almost by definition the result will be mediocre, but acceptable mediocrity is far more comfortable than diverse performance.

It would be one thing if an approved list were made up of, say, thirty ingenious selections, each chosen via the independent thinking of a different analyst or fund manager. Then you might have a dynamic portfolio. But the way it usually works is that each stock on the list has to be acceptable to all thirty managers, and if no great book or symphony was ever written by committee, no great portfolio has ever been selected by one, either.

I am reminded here of the Vonnegut short story in which various highly talented practitioners are deliberately held back (the good dancers wear weights,